

for synthetically coloring oranges. Oranges from areas which produced fruit with the most juice was at a competitive disadvantage because the product looked less attractive to the housewife than other types in which intrinsic quality was no better. At only one other time in my business life have I seen a company which, in my judgment, had on the horizon as big a dollar volume of potentially successful new products in relation to the then existing size of business as was the case with the Food Machinery Corporation in the period from 1932 through 1934.

By this time, I had learned enough to know that, no matter how attractive, such matters by themselves were not sufficient to assure great success. The quality of the people involved in the company was just as critical. I use the word quality to encompass two quite different characteristics. One of these is business ability. Business ability can be further broken down into two very different types of skills. One of these is handling the day-to-day tasks of business with above-average efficiency. In the day-to-day tasks, I include a hundred and one matters, varying all the way from constantly seeking and finding better ways to produce more efficiently to watching receivables with sufficient closeness. In other words, operating skill implies above-average handling of the many things that have to do with the near-term operation of the business.

However, in the business world, top-notch managerial ability also calls for another skill that is quite different. This is the ability to look ahead and make long-range plans that will produce significant future growth for the business without at the same time running financial risks that may invite disaster. Many companies contain managements that are very good at one or the other of these skills. However, for real success, both are necessary.

Business ability is only one of the two “people” traits that I believe is absolutely essential for a truly worthwhile investment. The other falls under the general term of integrity and encompasses both the honesty and the personal decency of those who are running a company. Anyone receiving his first indoctrination into the investment world in the period that preceded the 1929 crash would have seen rather vivid examples of the extreme importance of integrity. The owners and managers of a business are always closer to that business's affairs than are the stockholders. If the managers do not have a genuine sense of trusteeship for the stock-holders, sooner or later the stockholders may fail to receive a significant part of what is justly due